Engineering *Digest*

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THIS WEEK'S BRIEFING

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FOREWORD

Two trillion dollars in SaaS market cap vanished in thirty days — and the same week Atlassian cut 1,600 people to fund its AI pivot, OpenAI shipped the first general-purpose model built for agents, not chat. The SaaS repricing and the arrival of agent-native models aren't separate stories. They're two sides of the same structural shift, and it's accelerating.

P0 TRACKING: AWS ME RECOVERY — Day 17 · ~35% services restored · No full recovery date

THE WEEK AT A GLANCE

Seven stories in sixty seconds

⚠ ACTION REQUIRED

Security — **Chrome zero-days exploited in the wild** — patched March 13. CISA deadline: March 27. Update all Chrome instances immediately. *The Hacker News*

Node — **Node.js v20 end of life: April 30** — migration to v24 LTS should be underway. New release schedule: one major per year from Node 27. *nodejs.org*

WORTH KNOWING

SaaS **Atlassian cuts 1,600 jobs (10%) to fund AI pivot** — 900+ in R&D. CTO replaced with two co-CTOs. Stock down 53% YTD. *Reuters*

AI **GPT-5.4 released** — first general-purpose model with native computer-use. Consolidates reasoning and coding into one model. *OpenAI*

AI **Mistral Small 4 released** (Mar 16) — open-source, Apache 2.0. Unifies instruct, reasoning, and coding into a single model. *mistral.ai*

WATCHING

AI **Cerebras coming to AWS Bedrock** (Mar 13) — CS-3 wafer-scale systems deploying for fastest AI inference on AWS. *WSJ*

Regulatio **FCA opens authorisation gateway for targeted support** — new regulatory priorities framework replacing portfolio letters. *Taylor Wessing*

AI & SOFTWARE ECONOMICS

The SaaSpocalypse: When AI Agents Ate the Software Industry

$2 trillion in SaaS market cap erased. Atlassian cut 1,600 people. Goldman Sachs says 60% of software economics will flow through agents by 2030. The per-seat model is being repriced in real time.

$2T+	1,600	-53%	60%
MARKET CAP ERASED	ATLASSIAN JOBS CUT	ATLASSIAN YTD	AGENT ECONOMICS BY 2030

In early February, an investor sell-off wiped nearly $1 trillion from software stocks in a single week. By the end of the month, the total was closer to $2 trillion. The IGV Software Index dropped 30% from its September peak. Short sellers profited over $20 billion.

The catalyst wasn't earnings misses or a macro shock. It was a structural reassessment: AI agents don't just help users work inside software — they replace the need for the software entirely. When

one agent handles the work of five CRM operators, you don't need five seats. The per-seat model — the engine that powered two decades of SaaS valuations — is breaking.

Then on March 11, Atlassian made it concrete. The company cut 1,600 people — 10% of its workforce — to fund its AI pivot. Over 900 of those were in R&D. The CTO was replaced with two co-CTOs. CEO Mike Cannon-Brookes was unusually direct: "It would be disingenuous to pretend AI doesn't change the mix of skills we need or the number of roles required in certain areas. It does."

Atlassian is not alone. Salesforce is down 28%. ServiceNow -22%. Workday -20%. The pattern: companies whose core workflows — task tracking, CRM updates, support triage, report generation — are exactly what AI agents automate. And the timing matters. GPT-5.4 shipped the same fortnight with native computer-use — the first general-purpose model built to operate software rather than assist with it. The agent-native models that make this repricing rational are arriving now, not in some hypothetical future.

Goldman Sachs analysis predicts AI agents will broaden the overall software market but capture disproportionate profit. By 2030, over 60% of software economics may flow through agent-based systems rather than traditional SaaS licences. Software becomes the container. Intelligence becomes the product.

KEY TAKEAWAYS

- → $2 trillion in SaaS market cap erased in 30 days — not from earnings misses but from structural repricing of the per-seat model
- → Atlassian's 1,600-person cut is the clearest signal yet: even the companies building developer tools are restructuring around AI
- → The SaaS repricing and the arrival of agent-native models (GPT-5.4, Mistral Small 4) are the same story — the models that make agents viable are shipping now
- → Goldman Sachs: 60%+ of software economics through agent-based systems by 2030

Sources: TechCrunch, Forbes, Reuters, Business Insider, Digital Applied, Bloomberg

> *"Software increasingly resembles a container, with intelligence becoming the actual product."*
>
> — Goldman Sachs, February 2026

AI & TOOLING

SECURITY

GPT-5.4 and the Agent-Native Model Race

What Changed for Your Teams

GPT-5.4 consolidates reasoning and coding into one model — teams no longer need to switch between specialised models for different tasks. The 1M-token context window means entire codebases fit in one session. Native computer-use means agents can operate software directly, not just generate text about it.

Three model releases in two weeks reshaped the tooling landscape. OpenAI's GPT-5.4 (March 5) is the first general-purpose model with native computer-use capabilities and a 1M-token context window. Its tool search API lets agents find the right tools without bloated system prompts — a meaningful improvement for teams running agentic workflows at scale.

This connects directly to the SaaSpocalypse: the models that make agent-based software replacement viable are now generally available, not experimental. When a model can operate a browser, navigate UIs, and chain multi-step tasks, the economic case for per-seat SaaS licences weakens further with every deployment.

Mistral's Small 4 (March 16) takes a different approach — open-source under Apache 2.0, it unifies instruct, reasoning, and coding into a single model. For teams evaluating self-hosted options or those with data residency constraints, it's worth watching. Cerebras is also deploying its CS-3 wafer-scale systems in AWS data centres (March 13), bringing significantly faster inference to Bedrock.

Sources: OpenAI, TechCrunch, Mistral, WSJ

Chrome Zero-Days and the NCSC Cyber Warning

⚠ Patch by March 27

Two Chrome zero-days are being actively exploited. CISA has added them to the Known Exploited Vulnerabilities catalog. 3.5 billion Chrome users affected. Ensure all managed devices are updated.

Google patched two high-severity Chrome zero-days on March 13, both already exploited in the wild. CISA added them to the KEV catalog with a federal deadline of March 27. With 3.5 billion Chrome users globally, this is a patch-now situation — the details of the exploits are less important than the fact that they're being used in active attacks.

Separately, the UK's National Cyber Security Centre warned organisations to review their security posture following the Middle East conflict. The NCSC assessed "almost certainly a heightened risk of indirect cyber threats" for organisations with operations, partnerships, or supply chains in the region. Pro-Iran hacktivist groups have announced coordinated operations. For teams with any Middle East presence — including those affected by the AWS outage — this adds a cyber dimension to the infrastructure risk already on the table.

Sources: The Hacker News, Forbes, NCSC, Industrial Cyber

OTHER NEWS THIS WEEK

In Brief

AWS Middle East recovery ongoing (Day 17) — still no full restoration date. AWS continues to recommend migrating workloads to alternate regions. *The Register*

Revolut full UK banking licence now operational — FSCS-protected deposits for 13M customers. Credit products coming. £3B UK investment committed. *CNBC*

UK banks have lost ~15pp of addressable revenue to fintechs — Bain projects traditional banks will hold only 65% by 2030, down from 95% in the early 2000s. *Bain via The Finanser*

March Patch Tuesday: 79 CVEs, 2 zero-days — SQL Server elevation of privilege and .NET denial of service both exploited. *BleepingComputer*

Microsoft Copilot Wave 3 confirmed for May 1 — Agent 365 at $15/user, E7 Frontier Suite at $99/user. Claude integration via Anthropic Cowork. *Windows Central*

PLATFORM UPDATES

At a Glance

PLATFORM	WHAT CHANGED
.NET	March security patches across .NET 10/9/8. Emergency .NET 10.0.5 out-of-band fix for macOS debugging (Mar 12). Critical DoS vulnerability patched.
Node.js	24.14.0 LTS (Mar 11). Node 20 EOL April 30 — migration should be underway. New release schedule: one major per year from Node 27.
GitHub	Copilot agentic capabilities GA in JetBrains. VS 2026 18.3.0 with Copilot memories. AGENTS.md instruction file support.
AWS	S3 turned 20. Route 53 Global Resolver GA. Stateful MCP in Bedrock AgentCore. ME region recovery ongoing — no restoration date.

How Stripe Built Ledger: Tracking Every Dollar Across 135 Currencies

The engineering behind proving 5 billion daily transactions are correct

Stripe's engineering team published a detailed breakdown of Ledger — their system for tracking and validating every money movement across the platform. Processing 5 billion events per day across 135+ currencies and 185 countries, Ledger serves as the immutable system of record for Stripe's entire Global Payments and Treasury Network. The engineering challenges are directly relevant to anyone building or operating payment infrastructure at scale.

The core abstraction

Ledger models money movement as a state machine using double-entry bookkeeping — not just for accounting correctness, but as a data integrity mechanism. Every transaction is an event that moves funds between accounts through defined states (creation, submission, release). Credits and debits must balance to zero at steady state, which means a single incorrect event in billions of transactions can be detected mathematically. The system achieves 99.9999% explainability — meaning for every dollar Stripe processes, 99.9999% can be traced end-to-end.

What stands out

Two things are particularly notable. First, Stripe treats data quality as a first-class engineering discipline with its own metrics platform built on top of Ledger. Three metrics — clearing (are balances resolving to zero?), timeliness (is data arriving within thresholds?), and completeness (are all expected events present?) — are monitored continuously with hierarchical alerting. Teams get self-service dashboards showing their data quality scores with dollar-impact context.

Second, the system is designed for a messy world. External banking partners send malformed reports. Settlement cycles vary from real-time to monthly across different countries. Rather than trying to eliminate imperfection, Ledger bounds it: proactive alerting catches anomalies, and data corrections go through a two-phase review process modelled on CI/CD pipelines.

Why this matters

The pattern of treating financial data quality as an observable, measurable engineering concern — rather than something discovered during month-end close — is applicable beyond Stripe's scale. Any organisation processing payments across multiple corridors, currencies, or banking partners faces the same fundamental challenge: proving that money moved correctly through heterogeneous systems. Stripe's answer is to make correctness provable by design, not verified after the fact.

Read the full post: stripe.com/blog/ledger-stripe-system-for-tracking-and-validating-money-movement →

ON THE RADAR

What We're Watching

DEADLINES & REQUIRED ACTIONS

Mar 27	Chrome zero-day patching deadline (CISA KEV)
Apr 19	Claude Haiku 3 model retirement — migrate to Haiku 4.5
Apr 30	Node.js v20 reaches end of life — migration to v24 LTS recommended
Aug 2	EU AI Act high-risk obligations take effect

EVENTS & CONFERENCES

Apr 22	AWS Summit London — expect Bedrock, Trainium, and ME recovery announcements
Apr 29	Zero Day Con, Dublin — Ireland's largest cybersecurity conference
May 1	Microsoft Copilot Wave 3 launches — Agent 365, E7 Frontier Suite

RECOMMENDED READING

Five Links for the Weekend

The SaaSpocalypse Has Begun	Forbes
AI Agents Disrupting Software: The SaaSpocalypse	Digital Applied
Atlassian Team Update — March 2026	Atlassian Work Life
How Stripe Built Ledger	Stripe Engineering
NCSC Middle East Cyber Threat Warning	NCSC

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